

Member ID: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS

(265)

STATE 2023

Multiple Choice:

Total Points (50 x 2 pts each)

_____ (100 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. Which of the following is the category of law concerned with acts against society?
 - A. civil law
 - B. criminal law
 - C. constitutional law
 - D. administrative law
2. Which portion of law is based on the decisions of the old English courts?
 - A. statutory law
 - B. constitutional law.
 - C. common law
 - D. administrative law
3. The practice of a court to follow previous decisions is called a(an) _____.
 - A. precedent
 - B. appeal
 - C. case law
 - D. jurisdiction
4. Ethical reasoning based on consequences of actions is _____.
 - A. Social-based reasoning
 - B. Moral-based reasoning
 - C. Outcome-based reasoning
 - D. Duty-based reasoning
5. _____ consist of actions a business takes to demonstrate responsible behavior to society.
 - A. Ethical responsibility
 - B. Corporate responsibility
 - C. Social responsibility
 - D. Professional responsibility
6. What are the three classifications of crimes, based on their perceived seriousness?
 - A. Felonies, misdemeanors, and treason
 - B. Forgeries, felonies, and misdemeanors
 - C. Extortion, bribery, and misdemeanors
 - D. Forgeries, extortion, and treason

7. Which of the following is a legal defense involving the failure of an injured party to be careful enough to ensure personal safety?
 - A. Vicarious negligence
 - B. Negligence per se
 - C. Contributory negligence
 - D. Comparative negligence
8. Which of the following is the concept of blaming one party for the actions of another?
 - A. Strict liability
 - B. Negligent liability
 - C. Contributory liability
 - D. Vicarious liability
9. Constitutional amendments are also known as _____.
 - A. Doctrine of preemption
 - B. Supremacy clauses
 - C. Judicial clauses
 - D. Bill of rights
10. When state judges follow the federal law in the event of a conflict with state law is known as _____.
 - A. Commerce clause
 - B. Supremacy clause
 - C. Preemption clause
 - D. Regulatory clause
11. Which amendment to the U.S. Constitution deals with freedom of speech?
 - A. first
 - B. second
 - C. third
 - D. fourth.
12. How many amendments have been made to the U.S. Constitution?
 - A. ten
 - B. twelve
 - C. eighteen
 - D. twenty-seven

13. Anne has sued Susan in a state trial court due to a disagreement over their home boundaries and lost the case. Anne then filed an appeal in the state appellate court and lost the case again. What is Anne's next step?
- A. File another appeal with the state appellate court.
 - B. File an appeal with the state supreme court.
 - C. File an appeal with the U.S. district court.
 - D. Give up because Anne has no standing to file another appeal.
14. Janet is a resident of Colorado and purchased marijuana in Colorado where it is legal for recreational use. She was then arrested in the State of Minnesota where marijuana is not legal for recreational use. Janet argued that the State of Minnesota had no grounds for arresting her because she purchased the marijuana legally in a state in which she is a resident. Is Janet or the State of Minnesota correct?
- A. State of Minnesota is correct because marijuana is not legal for recreational use in the state.
 - B. State of Minnesota is correct because it takes precedent over the state of Colorado.
 - C. Janet is correct because she is a resident of Colorado.
 - D. Janet is correct because she purchased the marijuana legally.
15. While walking down the street, Hamilton accidentally bumps into Aaron. Aaron falls and injures himself. Is this a tort?
- A. No because Hamilton did not intend to injure Aaron.
 - B. No because Aaron also has a duty to care.
 - C. Yes, because the accident resulted in an injury.
 - D. Yes, because Aaron was not negligent.
16. Jamie was at the mall and walking while texting. Suddenly, she finds herself in the center fountain of the mall because she was not paying attention to her surroundings. What type of negligence is this?
- A. Vicarious negligence
 - B. Negligence per se
 - C. Contributory negligence
 - D. Comparative negligence
17. Which of the following is an example of a state agency?
- A. Environmental Protection Agency
 - B. Worker's Compensation Board
 - C. Consumer Product Safety Commission
 - D. Board of Education

18. Which branch of the government determines if there have been violations of the law and interprets the law?
- A. judicial
 - B. legislative
 - C. executive
 - D. administrative
19. Jonathan goes into the local diner and orders a cheeseburger with fries. What type of contract is this?
- A. Simple
 - B. Implied
 - C. Express
 - D. Formal
20. Constance signs an agreement for the installation of a new printer in her office which will cost her business \$1,500. The printer company comes to the office the following week and installs the printers. This contract is considered _____?
- A. Executory
 - B. Executed
 - C. Discharged
 - D. Breached
21. If a contract lacks one of the essential elements, it is considered _____.
- A. Valid
 - B. Voidable
 - C. Void
 - D. Illegal
22. What are the two sources of contract law?
- A. Civil law and criminal law
 - B. Article 2 of the Uniform Commercial Code and the U.S. Constitution
 - C. Common law and Article 2 of the Uniform Commercial Code
 - D. Code law and common law
23. Uncle Bill made an agreement with his nephew, Charles, that if he avoided alcohol and drugs until he reached the age of 21, Bill would pay Charles \$1,000. Charles abstained from alcohol and drugs during this time period. At the age of 21, Charles contacted his Uncle Bill to inform him and ask for payment. Does Uncle Bill need to pay?
- A. Yes, because he made a promise to his nephew.
 - B. Yes, because if he does not, he will be in breach of contract.
 - C. No, because agreements made between family members are not enforceable.
 - D. No, because no consideration was given by Charles.

24. Jake frequents the local convenience store for his afternoon snack. The owner was busy with another customer by the time Jake was ready to leave so he showed the owner he was purchasing a bottle of soda, which the owner acknowledged, and Jake left the store. Is this a valid offer?
- A. No, because it was no definite and certain.
 - B. No, because there was no intent to create and enforceable obligation.
 - C. Yes, because Jake has made an offer.
 - D. Yes, because the owner implied acceptance by acknowledging Jake's offer.
25. Super Store placed an advertisement in the local paper stating "High-Definition Television sets – only 100 in stock - \$500. This offer will last until the supply runs out." Is this an offer?
- A. No, it is an advertisement.
 - B. Yes, because the word "offer" is in the advertisement.
 - C. No, it is and invitation to trade.
 - D. Yes, because the supply is limited.
26. Is an acceptance of an offer valid if it is conditional or qualified?
- A. Yes, because it was communicated.
 - B. Yes, because it was intended as an obligation.
 - C. No, because it is considered a counteroffer.
 - D. No, because it is considered a revocation.
27. Sam offered to sell his used car to Max for \$5,000. Max waited three months to reply to Sam and then told him he would accept the offer.
- A. Sam can sell his car to Max.
 - B. Sam cannot accept Max's offer due to the lapse of time.
 - C. This is a counteroffer by Max so Sam can choose to accept or not accept.
 - D. The offer by Sam was not definite and certain is not a valid offer.
28. The intentional misstatement or non-disclosure of a material fact made by one party in an attempt to influence the actions of another party is _____?
- A. Fraud
 - B. Puffery
 - C. Negotiating
 - D. Misrepresentation
29. A belief that is not in accord with the facts is a _____?
- A. Mistake
 - B. Misrepresentation
 - C. Fraud
 - D. Falsification

30. John would help his elderly uncle do work around his home. The uncle did not have a lot of extra money and counted on this help. One day, John told his uncle about an investment opportunity which John needed money. If the uncle did not give money to John, John would no longer be available to help his uncle. This is considered _____?
- A. Unconscionable
 - B. Adhesion
 - C. Duress
 - D. Undue influence
31. Howard sold his business to Johnson and. In the contract, Howard promised to not only transfer the business to Johnson but to refrain from operating a similar business in the same area. This is known as a (an) _____.
- A. Illusory promise
 - B. Pledge
 - C. Forbearance
 - D. Barren promise
32. In contracts between a minor and a competent party, in general, who has the ability to disaffirm or avoid the contract?
- A. The minor.
 - B. The competent party.
 - C. Either the minor or the competent party.
 - D. Both the minor and the competent party.
33. Toni was known to frequent the local bars and become intoxicated on a regular basis. Because this was a small town, many of the locals knew of Toni's habit. On one instance, Simon saw Toni in the bar and offered to purchase her diamond earrings for \$10. Toni promptly turned the earrings over to Simon and collected the \$10. The next day, Toni demanded her earrings back. Is this contract voidable by Toni?
- A. No, because it meets all the elements of a valid contract.
 - B. Yes, even though it meets all of the elements of a valid contract.
 - C. No, because intoxication is not a valid reason to avoid a contract.
 - D. Yes, because Toni is of legal age and able to make valid contracts.

34. A contract entered into by an intoxicated person is _____ if the person was sufficiently intoxicated to lack mental capacity.
- A. Enforceable
 - B. Voidable
 - C. Void
 - D. Executory
35. Some restraints of trade legally enforceable. An example is when there is a _____ which restricts where and how businesses may operate.
- A. Locally owned franchise
 - B. Government granted franchise
 - C. Monopolized franchise
 - D. Unlicensed franchise
36. Which act prohibits price discrimination which prevents distributors from charging different price to various retailers?
- A. Business Protection Act
 - B. Federal Trade Act
 - C. Sherman Antitrust Act
 - D. Robinson-Patman Act
37. The _____ states any spoken or written words in conflict with what the written contract states cannot be introduced as evidence in a court of law.
- A. Uniform Commercial Code
 - B. Statute of Frauds
 - C. Parole Evidence Rule
 - D. Guaranty Rule
38. A(an) _____ beneficiary is a person who will benefit indirectly from a contract even though that was not the intent of the contracting parties.
- A. Incidental
 - B. Intended
 - C. Assignee
 - D. Third-party
39. Jackson contracted with Hewitt to build a boat. Jackson had specific instructions for the building of the boat and any boat builder could follow the instructions. Because Hewitt became overloaded with work, he assigned the contract to Block for completion. The boat was built per the instructions and delivered to Jackson. Jackson refused to pay for the boat stating Hewitt was hired to build the boat. Is Jackson correct?
- A. Yes, because he was not given notice of the assignment.
 - B. Yes, because the assignor becomes a guarantor.
 - C. No, there was mutual consent.
 - D. No, because the contract is not personal in nature because

40. Charlotte contracted with her distributor to purchase 100 pairs of athletic shoes for her store. Due to supply chain issues, the distributor delivered only 95 pairs of shoes. Charlotte refused to pay stating performance was not yet complete. Can Charlotte refuse to pay?
- A. Yes, because only 95 pairs of shoes were delivered.
 - B. No, because nonpayment could harm the distributor's business.
 - C. Yes, because this is a material alteration of the contract.
 - D. No, because the distributor had substantially performed.
41. When one party to a contract states the intent to break a contract, what type of breach is this?
- A. Negligent
 - B. Deliberate
 - C. Anticipatory
 - D. Allowable
42. What is implied warranty of merchantability?
- A. Goods are sold without prior claim to ownership.
 - B. Goods conform to the model or sample.
 - C. Goods are fit for the ordinary purposes for which such goods are used.
 - D. Goods are sold with a full warranty.
43. Lemon laws were enacted to give consumers' remedies for products with serious defects or mechanical problems. Which act does the lemon law fall under?
- A. Glass-Steagall Act
 - B. Magnuson-Moss Warranty Act
 - C. Gramm-Leach-Bliley Act
 - D. Dodd-Frank Act
44. What is a major disadvantage of a partnership versus a corporation?
- A. A partnership pays taxes once, on the personal level, while a corporation pays taxes twice, on both the corporate and personal level.
 - B. A partnership has unlimited liability while a corporation has limited liability.
 - C. A partnership has limited management while a corporation has stockholders as managers.
 - D. A partnership is more difficult to form than a corporation.
45. A (an) _____ is when a product is manufactured with a more hazardous condition throughout the product line.
- A. Flaw
 - B. Defect
 - C. Failure
 - D. Inefficiency

46. Persons may be liable for injuries to others whether or not they have been negligent or committed an intentional tort is known as _____.
A. Strict liability
B. Potential liability
C. Negligent liability
D. Intentional liability
47. When the owner of tangible personal property transfers that property to another party while still retaining ownership is known as a (an) _____.
A. Termination
B. Bailment
C. Gift
D. Lien
48. When owner of goods turns over the goods to another party for sale while retaining ownership is known as a (an) _____.
A. Sale
B. Transfer
C. Consignment
D. Bailment
49. A (an) _____ bailment occurs when goods are thrust upon a bailee who does not have a choice in whether or not they want to serve as a bailee.
A. Common
B. Transient
C. Advantageous
D. Constructive
50. The Environmental Protection Agency was created to regulate business activities related to the environment with the intent to _____.
A. Protect plants
B. Protect people
C. Protect air
D. Protect business